

Ministry of Finance



HIGHLIGHTS OF ECONOMIC SURVEY 2024-25

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INDIA'S REAL GDP AND GVA GROWTH ESTIMATED AT 6.4 PER CENT IN FY25 (FIRST ADVANCE ESTIMATES)

THE REAL GDP GROWTH TO GROW BETWEEN 6.3 AND 6.8 PER CENT IN FY26

THRUST ON GRASSROOTS-LEVEL STRUCTURAL REFORMS AND DEREGULATION TO BOOST MEDIUM-TERM GROWTH POTENTIAL AND GLOBAL COMPETITIVENESS

GEO-ECONOMIC FRAGMENTATION (GEF) IS REPLACING GLOBALIZATION LEADING TO IMMINENT ECONOMIC REALIGNMENTS AND READJUSTMENTS

FOCUS OF REFORMS AND EASE OF DOING BUSINESS 2.0 TO CREATE INDIA'S *MITTELSTAND*, I.E. INDIA'S SME SECTOR TO MEET THE REQUIREMENTS OF INFRASTRUCTURE PRIVATE SECTOR PARTICIPATION WILL BE CRUCIAL

CAPEX IMPROVED CONTINUOUSLY FROM FY21 TO FY24 AND POST GENERAL ELECTIONS, IT GREW YOY BY 8.2 PER CENT CAPITAL EXPENDITURE ON KEY INFRASTRUCTURE SECTORS GROWN AT A RATE OF 38.8 PER CENT FROM FY20 TO FY24

RBI AND THE IMF PROJECT INDIA'S CONSUMER PRICE INFLATION WILL ALIGN WITH TARGET OF 4 PER CENT IN FY26

RETAIL HEADLINE INFLATION SOFTENED FROM 5.4 PER CENT IN
FY24 TO 4.9 PER CENT IN APRIL –DECEMBER 2024

BANK CREDIT HAS GROWN AT A STEADY RATE WITH CREDIT
GROWTH CONVERGING TOWARDS DEPOSIT GROWTH

GNPA OF SCHEDULED COMMERCIAL BANKS DECLINED TO A 12-
YEAR LOW OF 2.6 PER CENT

₹3.6 LAKH CRORE REALIZED IN RESOLUTION OF 1,068 PLANS
TILL SEPTEMBER 2024 UNDER INSOLVENCY AND BANKRUPTCY
CODE

₹11.1 LAKH CRORE MOBILISED THROUGH EQUITY AND DEBT
TILL DECEMBER 2024, A 5% INCREASE THAN PREVIOUS YEAR

BSE STOCK MARKET CAPITALISATION TO GDP RATIO STOOD AT
136 PER CENT, FAR HIGHER THAN CHINA (65 PER CENT) AND
BRAZIL (37 PER CENT)

OVERALL EXPORTS GREW BY 6 PER CENT, SERVICES BY 11.6 PER
CENT (YOY) IN THE FIRST NINE MONTHS OF FY25

INDIA RANKS 2ND LARGEST EXPORTER IN THE WORLD IN
‘TELECOMMUNICATIONS, COMPUTER, & INFORMATION
SERVICES’, AS PER UNCTAD

FOREX AT USD 640.3 BILLION, SUFFICIENT TO COVER 10.9
MONTHS OF IMPORTS AND 90 PER CENT OF EXTERNAL DEBT

GOVERNMENT’S SPACE VISION 2047 INCLUDES GAGANYAAN
MISSION AND CHANDRAYAAN-4 LUNAR SAMPLE RETURN
MISSION

DRASTIC REDUCTION ON SMARTPHONE IMPORTS, 99 PER
CENT NOW MANUFACTURED DOMESTICALLY: ECONOMIC
SURVEY 2024-25

**WIPO REPORT 2022 - INDIA RANKS SIXTH AMONG THE TOP 10
PATENT FILING OFFICES GLOBALLY**

**₹50,000 CRORE SELF-RELIANT INDIA FUND LAUNCHED TO
PROVIDE EQUITY FUNDING TO MSMES**

**INDIA'S SERVICES EXPORT GROWTH SURGED TO 12.8 PER
CENT DURING APRIL–NOVEMBER FY25, UP FROM 5.7 PER
CENT IN FY24**

**THE TOURISM SECTOR'S CONTRIBUTION TO GDP RETURNED
TO ITS PRE-PANDEMIC LEVEL OF 5 PER CENT IN FY23**

**AGRICULTURE AND ALLIED ACTIVITIES SECTOR
CONTRIBUTES APPROXIMATELY 16 PER CENT OF THE
COUNTRY'S GDP FOR FY24 (PE) AT CURRENT PRICES**

**KHARIF FOODGRAIN PRODUCTION IS EXPECTED TO REACH
1647.05 LMT, AN INCREASE OF 89.37 LMT FROM PREVIOUS
YEAR**

**FISHERIES SECTOR SHOWN HIGHEST CAGR OF 8.7 PER CENT,
FOLLOWED BY LIVESTOCK WITH A CAGR OF 5.8 PER CENT
INSTALLED ELECTRICITY GENERATION CAPACITY FROM
NON-FOSSIL FUEL SOURCE ACCOUNTS FOR 46.8 PER CENT OF
THE TOTAL CAPACITY**

**ADDITIONAL CARBON SINK OF 2.29 BILLION TONNES CO2
EQUIVALENT HAS BEEN CREATED BETWEEN 2005 AND 2023
BY 2030, LIFE MEASURES COULD SAVE CONSUMERS AROUND
USD 440 BILLION GLOBALLY**

**SOCIAL SERVICES EXPENDITURE REGISTERS AN ANNUAL
GROWTH RATE OF 15 PER CENT FROM FY 21 TO FY 25**

GOVERNMENT HEALTH EXPENDITURE INCREASES FROM 29.0 PER CENT TO 48.0 PER CENT; EXPENDITURE BY PEOPLE ON HEALTH DECLINES FROM 62.6 PER CENT TO 39.4 PER CENT
UNEMPLOYMENT RATE DECLINES TO 3.2 PER CENT IN 2023-24
FROM 6.0 PER CENT IN 2017-18

GROWING DIGITAL ECONOMY AND RENEWABLE ENERGY
SECTORS PROVIDE ENHANCED OPPORTUNITIES FOR JOB
CREATION, ESSENTIAL FOR ACHIEVING VIKSIT BHARAT'S
VISION

PM-INTERNSHIP SCHEME EMERGES AS TRANSFORMATIVE
CATALYST FOR EMPLOYMENT GENERATION

BARRIERS TO LARGE-SCALE AI ADOPTION PERSIST IN
PRESENT, LEADING TO A WINDOW FOR POLICYMAKERS TO
ACT

COLLABORATIVE EFFORT BETWEEN GOVERNMENT, PRIVATE
SECTOR, AND ACADEMIA ESSENTIAL TO MINIMISE ADVERSE
SOCIETAL EFFECTS OF AI-DRIVEN TRANSFORMATION

Union Minister of Finance and Corporate Affairs, Smt Nirmala Sitharaman presented the Economic Survey 2024-25 in the Parliament today. The highlights of the survey are as follows;

State of the Economy: Getting Back into the Fast Lane

1. India's real GDP growth is **estimated at 6.4 per cent in FY25** (as per first advance estimates of national income), which equates nearly to its decadal average.
2. Real gross value added (GVA) is also estimated to grow by 6.4 per cent FY25.
3. The global economy on an average grew by 3.3 per cent in 2023 against the IMF projection of 3.2 per cent growth in the next five years.
4. The real GDP growth in **FY26 is expected to grow between 6.3 and 6.8 per cent**, keeping in mind the upsides and downsides to growth.
5. Thrust on **grassroots-level structural reforms** and **deregulation** to reinforce the medium-term growth potential and boost global competitiveness of Indian economy.
6. Geopolitical tensions, ongoing conflicts and global trade policy risks continue to pose significant challenges to the global economic outlook.

7. **Retail headline inflation** has softened from 5.4 per cent in FY24 to **4.9 per cent in April – December 2024**.
8. Capital expenditure (CAPEX) improved continuously from FY21 to FY24. Post general elections, CAPEX grew YOY by 8.2 per cent during July –November 2024.
9. India accounts for seventh-largest share in global services exports, underscoring India's global competitiveness in the sector.
10. During April to December 2024, non-Petroleum and non-Gems & Jewellery exports went up by 9.1 per cent reflecting resilience of India's merchandise exports amid volatile global conditions.

Monetary and Financial Sector Developments: The Card and the Horse

1. Bank credit has grown at a steady rate with credit growth converging towards deposit growth.
2. **Profitability of Scheduled Commercial Banks improved**, reflected in a fall in gross non-performing assets (GNPAs) and rise in capital to risk weighted asset ratio (CRAR).
3. Credit growth outpaced nominal GDP growth for two successive years. The **credit-GDP gap narrowed to (-) 0.3 per cent in Q1 of FY25** from (-) 10.3 per cent in Q1 of FY23, indicating sustainable bank credit growth.
4. **Banking sector** exhibits **improvement in asset quality**, robust capital buffers, and strong operational performance.
5. The **gross non-performing assets (GNPAs)** of Scheduled Commercial Banks declined to a 12-year low of **2.6 per cent of gross loans and advances** at the end of September 2024.
6. Under Insolvency and Bankruptcy Code, **₹3.6 lakh crore realized in resolution of 1,068 plans** till September 2024. It amounts to 161 per cent against the liquidation value and 86.1 per cent of the fair value of the assets involved.
7. Indian stock markets outperformed its emerging market peers despite election-driven market volatility challenges.
8. The total resource mobilisation from primary markets (equity and debt) stands at ₹11.1 lakh crore from April to December 2024, five per cent more than the amount mobilised during FY24.
9. BSE stock market capitalisation to GDP ratio stood at 136 per cent at the end of December 2024, far higher than other Emerging Market Economies like China (65 per cent) and Brazil (37 per cent).
10. India's **insurance** market continued its upward trajectory, with total insurance premiums growing by **7.7 per cent in FY24**, reaching ₹11.2 lakh crore.
11. India's **pension** sector experienced significant growth, with the **total number of pension subscribers growing by 16 per cent (YoY)** as of September 2024.

External Sector: Getting FDI Right

1. India's external sector continues to display resilience amidst global uncertainties and headwinds.
2. **Overall exports** (merchandise + services) **grew by 6 per cent (YOY)** in the first nine months of FY25. Services sector by 11.6 per cent during the same time.

3. India commands **10.2 per cent** of the **global export market** in ‘**Telecommunications, Computer, & Information Services**’, ranking 2nd largest exporter in the world, as per UNCTAD.
4. India’s current account deficit (**CAD**) stood at **1.2 per cent of GDP** in Q2 of FY25, supported by rising net services receipts and an increase in private transfer receipts.
5. Gross Foreign Direct Investment (**FDI**) inflows recorded a revival in FY25, increasing from USD 47.2 billion in the first eight months of FY24 to USD 55.6 billion in the same period of FY25, a YoY **growth of 17.9 per cent**.
6. India’s FOREX reserves stood at USD 640.3 billion as of the end of December 2024, **sufficient to cover 10.9 months of imports** and approximately 90 per cent of the country’s external debt.
7. India’s **external debt** remained stable over the past few years, with the external debt to GDP ratio standing at **19.4 per cent at the end of September 2024**.

Prices and Inflation: Understanding the Dynamics

1. As per the IMF, the global inflation rate moderated to 5.7 per cent by 2024 from its peak of 8.7 per cent in 2022.
2. **Retail inflation** in India saw a reduction from 5.4 per cent in FY24 to **4.9 per cent in FY25 (April-December 2024)**.
3. **RBI** and the **IMF** project India’s consumer price inflation will gradually align with the target of around **4 per cent in FY26**.
4. Development of climate-resilient crop varieties and enhanced farming practices are essential to mitigate the effects of extreme weather events and achieve long-term price stability.

Medium-Term Outlook: Deregulation Drives Growth

1. Indian economy is in the middle of a change that represents an unprecedented economic challenge and opportunity. **Geo-Economic Fragmentation (GEF) is replacing globalization** leading to imminent economic realignments and readjustments.
2. To realize the vision of *Viksit Bharat* by 2047 India will need to achieve a growth rate of around 8 per cent at constant prices, on average, for about a decade or two.
3. The Medium-term growth outlook for India must consider the new global realities - GEF, China’s manufacturing prowess, and dependency of efforts for energy transition on China.
4. India to focus on **systematic deregulation** to reinvigorate the domestic levers of growth and empower individuals and organisations to pursue legitimate economic activity with ease.
5. Systemic deregulation or enhancing economic freedom for individuals and small businesses is arguably the **most important policy priority** to bolster India’s medium-term growth prospects.
6. Focus of reforms and economic policy must now be on systematic deregulation under Ease of Doing Business 2.0 and **creation of a viable *Mittelstand***, i.e. India’s SME sector.
7. In the next step, States must work on liberalising standards and controls, setting legal safeguards for enforcement, reducing tariffs and fees, and applying risk-based regulation.

Investment and Infrastructure: Keeping it Going

1. The central focus of the Government in the last five years was on increasing public spending on infrastructure, and speeding up approvals and resource mobilization.
2. The Union Government's **capital expenditure on key infrastructure sectors** has **grown at a rate of 38.8 per cent** from FY20 to FY24.
3. Under railway connectivity, **2031 km of railway network** was commissioned between April and November, 2024, and **17 new pairs of Vande Bharat** trains were introduced between April and October 2024.
4. Under road network, **5853 km of National Highways** was constructed in FY25 (April-Dec).
5. Under National Industrial Corridor Development Programme, a total of 383 plots covering **3788 acres have been allotted for industrial use** for various sectors in phase 1.
6. Operational efficiency improved reduction in average container turnaround time in major ports from **48.1 hours in FY24 to 30.4 hours during FY25** (Apr-Nov), significantly improving **port connectivity**.
7. A 15.8 per cent year-on-year increase in renewable energy capacity of solar and wind power by December 2024.
8. The share of renewable energy in India's total installed capacity now stands at 47 per cent.
9. Government's schemes like the DDUGJY and the SAUBHAGYA improved electricity access in rural areas, electrifying 18,374 villages and providing electricity to 2.9 crore households.
10. The government's digital connectivity initiatives have gained traction, particularly with the rollout of 5G services across all states and union territories by October 2024.
11. Efforts to provide 4G mobile services to remote areas under the Universal Service Obligation Fund (now Digital Bharat Nidhi) have made significant strides, with over 10,700 villages covered by December 2024.
12. Under the **Jal Jeevan Mission**, over 12 **crore families** have gained access of piped drinking water since its launch.
13. Under Phase II of the Swachh Bharat Mission-Grameen, during April to November 2024, 1.92 lakh villages were incrementally declared ODF Plus under the model category, taking the total number of **ODF Plus villages to 3.64 lakh**.
14. In urban areas, the **Pradhan Mantri Awas Yojana has completed over 89 lakh houses**.
15. City transportation network is expanding rapidly, with metro and rapid rail systems operational or under construction in 29 cities, covering over 1,000 kilometers.
16. Real Estate (Regulation & Development) Act, 2016, ensured regulation and transparency of Real Estate sector. By January 2025, **over 1.38 lakh real estate projects registered**, and 1.38 lakh complaints were resolved.
17. India currently operates 56 active space assets. The government's Space Vision 2047 includes ambitious projects like the **Gaganyaan** mission and the **Chandrayaan-4** Lunar Sample Return Mission.
18. Public sector investment alone cannot meet the requirements of infrastructure, and **private sector participation will be crucial** to bridge the gap.

19. The government has created mechanisms such as the National Infrastructure Pipeline and National Monetisation Pipeline to facilitate private sector involvement in infrastructure.

Industry: All about Business Reforms

1. The industrial sector expected to grow by 6.2 per cent in FY-25 (first advance estimates), driven by robust growth in electricity and construction.
2. The government has been actively promoting Smart Manufacturing and Industry 4.0, supporting the establishment of **SAMARTH Udyog centres**.
3. In FY24, the **Indian automobile domestic sales grew by 12.5 per cent**.
4. The domestic production of electronic goods has grown at a CAGR of 17.5 per cent from FY15 to FY24.
5. **99 per cent smartphones now manufactured domestically**, drastically reducing India's dependence on imports.
6. The total **annual turnover of pharmaceuticals in FY24 was ₹4.17 lakh crore**, growing at an average rate of 10.1 per cent in the last five years.
7. As per the WIPO Report 2022, **India ranks sixth among the top 10 patent filing offices globally**.
8. Micro, Small and Medium Enterprises (MSME) sector has emerged as a highly vibrant sector of the Indian economy.
9. To provide equity funding to MSMEs with the potential to scale up, the government launched the **Self-Reliant India Fund** with a corpus of ₹50,000 crore.
10. The government is implementing the Micro and Small Enterprises-Cluster Development Programme to develop clusters across the country.

Services -New Challenges for the Old War Horse

1. The service sector's contribution to total GVA has risen from 50.6 per cent in FY14 to 55.3 per cent in FY25 (First Advance Estimates).
2. The average growth rate of the services sector was 8 per cent in the pre-pandemic years (FY13 -FY20). It stood at 8.3 per cent in the post-pandemic period (FY23–FY25).
3. India held a 4.3 per cent share in global services exports in 2023, ranking seventh worldwide.
4. India's services export growth surged to 12.8 per cent during April–November FY25, up from 5.7 per cent in FY24.
5. Information and computer-related services grew at a trend rate of 12.8 per cent over the last decade (FY13–FY23), increasing their share of overall GVA from 6.3 per cent to 10.9 per cent.
6. Indian Railways recorded an 8 per cent growth in passenger traffic originating in FY24. Revenue-earning freight in FY24 grew by 5.2 per cent.
7. The tourism sector's contribution to GDP returned to its pre-pandemic level of 5 per cent in FY23.

Chapter-9 Agriculture and Food Management: Sector of the Future

1. The 'Agriculture and Allied Activities' sector contributes approximately 16 per cent of the country's GDP for FY24 (PE) at current prices.
2. High-value sectors like horticulture, livestock, and fisheries have become key drivers of overall agricultural growth.
3. Kharif foodgrain production for 2024 is expected to reach 1647.05 Lakh Metric Tonnes (LMT), an increase of 89.37 LMT from the previous year.
4. For the fiscal year 2024-25, the MSP for Arhar and Bajra has been increased by 59 per cent and 77 per cent over the weighted average cost of production, respectively.
5. The fisheries sector has shown the highest compound annual growth rate (CAGR) of 8.7 per cent, followed by livestock with a CAGR of 8 per cent.
6. National Food Security Act (NFSA) 2013 and the Pradhan Mantri Garib Kalyan Anna Yojana (PMGKAY) marked a fundamental shift in the approach to food security.
7. The provision of free food grains under PMGKAY for another five years, reflects the long-term commitment of Govt towards food and nutrition security.
8. As of 31st October, over 11 crore farmers have benefitted under PM-KISAN, while 23.61 lakh farmers are enrolled under PM Kisan Mandhan.

Climate & Environment: Adaptation Matters

1. India's ambition to achieve developed nation status by 2047 is fundamentally anchored in the vision of inclusive and sustainable development.
2. India has installed electricity generation capacity of 2,13,701 megawatts from non-fossil fuel sources, which accounts for 46.8 per cent of the total capacity as of 30 November 2024.
3. As per the Forest Survey of India 2024 an additional carbon sink of 2.29 billion tonnes CO₂ equivalent has been created between 2005 and 202
4. The India-led global movement, Lifestyle for Environment (LiFE), aims to enhance the country's sustainability efforts.
5. By 2030, it is estimated that LiFE measures could save consumers around USD 440 billion globally through reduced consumption and lower prices.

Social Sector -Extending reach and driving empowerment

1. The social services expenditure of the government (combined for Centre and States) increased at a compound annual growth rate of 15 per cent from FY21 to FY 25.
2. Gini coefficient, a measure of inequality in consumption expenditure, is declining. For rural areas it declined to 0.237 in 2023-24 from 0.266 in 2022-23, and for urban areas, it fell to 0.284 in 2023-24 from 0.314 in 2022-23.
3. Various fiscal policies of the government are aiding in reshaping the income distribution.
4. Government health expenditure increases from 29.0 per cent to 48.0 per cent; share of out-of-pocket expenditure in total health expenditure declines from 62.6 per cent to 39.4 per

cent, reducing financial hardship endured by households.

5. The Ayushman Bharat Pradhan Mantri Jan Arogya Yojana (AB PM-JAY) has played a decisive role in the significant reductions in expenditure with over ₹1.25 lakh crore in savings being recorded.
6. The strategy of —Localisation of Sustainable Development Goals (SDGs) has been adopted to ensure that budgets at the Gram Panchayat levels align with the SDG objectives.

Employment and Skill Development: Existential priorities

1. Indian labour market indicators have improved with unemployment rate declining to 3.2 per cent in 2023-24 (July-June) from 6.0 per cent in 2017-18 (July-June).
2. With around 26 per cent of the population in the age group of 10-24 years, India stands at the cusp of a unique demographic opportunity, as one of the youngest nations globally.
3. To give a fillip to women's entrepreneurship, the government has launched several initiatives in terms of easier access to credit, marketing support, skill development, and support to women start-ups, etc.
4. The growing digital economy and renewable energy sectors are providing enhanced opportunities for job creation, essential for achieving the Viksit Bharat's vision.
5. The government is establishing a resilient and responsive skilled ecosystem to keep pace with emerging global trends such as automation, generative AI, digitalisation, and the effects of climate change.
6. The Government has implemented measures to boost employment, foster self-employment, and promote worker welfare.
7. The recently launched PM-Internship Scheme is emerging as a transformative catalyst for employment generation.
8. The net payroll additions under EPFO have more than doubled in the past six years, signalling healthy growth in formal employment.

Labour in the AI Era: Crisis or Catalyst?

1. Developers of Artificial Intelligence (AI) promise to usher in a new age, where a bulk of the economically valuable work is automated.
2. AI is anticipated to surpass human performance in critical decision-making across various fields, including healthcare, research, criminal justice, education, business, and financial services.
3. Barriers to large-scale AI adoption persist in the present, which include concerns over reliability, resource inefficiencies, and infrastructure deficits. These challenges, along with AI's experimental nature, create a window for policymakers to act.
4. Fortunately, due to AI presently being in its infancy, India is afforded the time necessary to strengthen its foundations and mobilise a nation-wide institutional response.
5. Leveraging its young, dynamic, and tech-savvy population, India has the potential to create a workforce that can utilise AI to augment their work and productivity.

6. The future revolves around 'Augmented Intelligence', where the workforce integrates both human and machine capabilities. This approach aims to enhance human potential and improve overall efficiency in job performance, ultimately benefiting society as a whole.
7. Collaborative effort between government, private sector, and academia essential to minimise adverse societal effects of AI-driven transformation.

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